

effects shocked seasoned investors as it came after a period of a booming economy with great levels of production, and it led to what's now known as the Great Depression. Unfortunately, prior to the crash, the market in the mid to late 1920s was being driven by speculation rather than principle. People were mortgaging their homes to pull out cash and pour it into the stock market, as they didn't think the stock market could ever dip down.

The process of using borrowed money to invest is called 'margin investing'. Investors in training now know that using margin investing to invest in companies, especially ones without intrinsic value, is a recipe for disaster. The stocks may not go up, and may even go down, but you'll still have to pay back your loan plus interest. Fortunately, the market recovered from the 1929 crash, and the investors who held their positions in long-term broad market index funds didn't lose a single penny.

### ***The 1987 Black Monday crash***

Black Monday (or Black Tuesday in Australasia due to time zone differences) is known as the biggest crash in stock market history, even larger than the 1929 crash. It's widely assumed that the market fell due to computer-driven trading models that had made some errors. These computer systems were new to Wall Street and were basically tasked with engaging large-scale trading strategies. The market fell more than 20 per cent in two days. Let that sink in: the biggest two-day drop in the market was only 20 per cent. For someone investing in a broad market fund, at most, their stocks dropped 20 per cent suddenly. Not 100 per cent, not 80 per cent, not even 50 per cent. To date the biggest two-day drop of the market has only been 20 per cent.

Now you may be wondering how some people say they lost almost 90 per cent of their portfolio in this crash. Investors in training know that when someone says they lost a huge chunk of their portfolio, it was because they took on a greater risk to begin with by investing in individual stocks. The value of a single stock can rise and drop much more rapidly than the entire market. You can lose 90 per cent of a single company in a day, but it is very difficult for a broad market index to drop 90 per cent in a day — nothing like this has happened yet. Despite being the biggest crash, the market recovered only three years later in 1990. Meaning those who held their positions, again, didn't lose a single penny.